WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MYANMAR

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Yangon	Largest city and commercial capital; home to the main port, most banks and the Japanese-backed Thilawa Special Economic Zone	Manufacturing, logistics, consumer goods, services
Naypyitaw	Administrative capital and seat of the military-led government, the Myanmar Investment Commission and key ministries	Government relations, permitting
Mandalay and central dry zone	Upper Myanmar's trading hub, hit hardest by the March 2025 earthquake and now a focus of reconstruction	Construction materials, agriculture, trade
Muse and the Mandalay–Lashio corridor (China border)	Principal overland gateway to China; the Mandalay–Lashio road was brought back under government control in 2025–26	Border trade, agro-exports, logistics
Myawaddy (Thailand border)	Main land link to Thailand via the Myawaddy–Kawkareik road; the area also hosts cyber-scam operations that call for close counterparty screening	Cross-border trade, logistics
Kyaukphyu (Rakhine coast)	Planned deep-sea port and SEZ led by China's CITIC (70% of the port venture) as the Indian Ocean node of the China–Myanmar Economic Corridor; Rakhine is an active conflict area	Port, energy transit, industrial zone
Offshore gas fields (Andaman Sea and Rakhine coast)	Oil and gas account for about a quarter of cumulative approved FDI, with gas exported to Thailand and China; the sector is closely tied to MOGE sanctions	Oil and gas, power

INVESTOR ENTRY ROUTES

- Myanmar Investment Commission (MIC) and its secretariat, the Directorate of Investment and Company Administration (DICA), which approve permits and endorsements and register companies
- Myanmar Investment Law 2016, providing MIC permits, endorsements, tax incentives and land-use rights for qualifying projects
- Special Economic Zones, led by the operational Thilawa SEZ near Yangon, offering a separate one-stop regime for licensing, customs and incentives; Kyaukphyu and Dawei remain at planning stage

- Central Bank of Myanmar oversight of foreign exchange; the CBM reference rate has been used again for customs and trade calculations since January 2025, and conversion and repatriation should be planned with local banks well in advance
- Sanctions-compliant structuring: US, UK, EU and Canadian measures are targeted rather than comprehensive, so non-sanctioned activity is lawful but requires screening of every counterparty and avoidance of restricted sectors
- Partnership with established regional (Singaporean, Thai, Japanese, Chinese) operators already present in power, manufacturing and logistics

MARKET-ENTRY OBSERVATION

Myanmar enters late 2026 with a new political structure and early signs of economic stabilisation. Following elections held in phases in December 2025 and January 2026, Min Aung Hlaing was sworn in as President on 10 April 2026, handing command of the armed forces to General Ye Win Oo. The World Bank estimates the economy contracted by 2.0% in FY2025/26, with activity improving towards the year-end, and projects growth of 2% in FY2026/27; the ADB's September 2026 outlook forecasts 2.2% in 2026 and 2.7% in 2027. Inflation rose to 24.6% in April 2026 as higher global fuel prices fed through. The Myanmar Investment Commission continues to approve projects, and approved FDI reached $690 million in FY2024/25, led by oil and gas ($357 million) and manufacturing ($183 million), with Singapore, China and Thailand the leading cumulative sources.

Myanmar's central challenge is the combination of internal conflict and international restrictions. The civil war that followed the 2021 coup has displaced more than 3.5 million people, and the March 2025 earthquake caused an estimated $11 billion of direct damage, around 14% of GDP. The military has regained around 27 towns and key trade roads in 2026, including the Mandalay–Lashio and Myawaddy–Kawkareik corridors, and 13 ethnic armed organisations have joined talks, although fighting continues in central Myanmar. The US, UK, EU and Canada maintain targeted sanctions, and Myanmar remains on the FATF call-for-action list. The US has delisted several individuals since 2025 and has reportedly opened talks with the new government, signalling that the external environment can evolve. For prepared investors, reconstruction needs, a population of around 55 million and Myanmar's position between China, India and ASEAN offer longer-term opportunity within lawful limits.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Targeted Western sanctions	The US blocks the Ministry of Defense, Myanma Foreign Trade Bank, Myanma Investment and Commercial Bank, Myanma Gems Enterprise and Myanma Timber Enterprise and bars financial services to MOGE; the EU lists MOGE, the gems and timber enterprises and 105 individuals and 22 entities; the UK lists the timber enterprise and others	Engage specialist sanctions counsel, screen every counterparty and its owners, and confine activity to sectors and partners that are clearly outside these designations
Jet fuel and military supply chains	The US jet fuel sector determination of August 2023, UK designations of fuel suppliers and Canada's aviation-fuel export ban target supplies to the military	Exclude aviation fuel and military-linked logistics entirely, and build end-use controls into supply contracts
Status of the government and conflict	The new government emerged from elections that excluded the NLD and were not held in opposition-held areas, and armed conflict continues in several regions	Use political-risk analysis and neutral-seat arbitration, favour secure locations such as Yangon and Thilawa, and position for any future normalisation
FATF call-for-action listing	Myanmar remains on the FATF high-risk list requiring enhanced due diligence, and the FATF said it would consider countermeasures if progress stalled by October 2026	Bank through institutions experienced in Myanmar compliance and allow extra time for correspondent-banking checks
Inflation and foreign exchange	Inflation reached 24.6% in April 2026 and foreign-exchange demand rose with fuel import costs	Price contracts in dollars where permitted, keep local-currency exposure short, and agree conversion and repatriation

Issue	Potential Impact	Possible Mitigation
		arrangements with banks upfront
Infrastructure and power	Unreliable electricity and earthquake damage raise operating costs, especially in upper Myanmar	Plan on-site power backup; reconstruction creates demand for building materials, equipment and power solutions
Human-rights, ESG and reputational considerations	Gems, jade, timber and some mining areas are linked to conflict finance, and cyber-scam centres operate in border areas	Conduct enhanced human-rights due diligence and supply-chain tracing, and avoid conflict-linked resources

INVESTOR RISK NOTE

Myanmar is a legally restricted market, and compliance is the starting point for any engagement. Western governments have not accepted the 2025–26 elections as restoring democratic rule, and the US, UK, EU and Canada maintain targeted sanctions: the US blocks the Ministry of Defense, the two state banks handling foreign exchange (MFTB and MICB) and the gems and timber enterprises, bars US persons from providing financial services to MOGE and can designate jet fuel suppliers; the EU renewed its measures until April 2027, including the MOGE listing; and Canada bans aviation-fuel exports. Myanmar also remains on the FATF call-for-action list. These regimes are targeted rather than comprehensive, so lawful activity with non-designated private counterparties remains possible, and the US delistings of 2025–26 and reported talks indicate that the policy environment is not static. The economy is stabilising after the earthquake and conflict-related contraction, with modest growth forecast for 2026–27. Investors should obtain specialist sanctions and legal advice, screen counterparties continuously, avoid sanctioned sectors and conflict-linked resources, and treat Myanmar as a market where careful positioning today builds readiness for any future normalisation.

MARKET ACCESS

Myanmar is a member of ASEAN, with tariff-free access to most goods across the ASEAN Free Trade Area and participation in ASEAN's free trade agreements with China, Japan, Korea, India and Australia–New Zealand, and has been a WTO member since 1995. Its main trading partners are China, Thailand, Bangladesh and India, with natural gas flowing by pipeline to Thailand and China and agricultural, fisheries, mineral and garment exports making up much of the rest. Overland trade runs mainly through Muse to Yunnan and Myawaddy to Thailand, both on corridors that reopened to government-controlled traffic in 2025–26, while Yangon and Thilawa handle most seaborne trade. The China–Myanmar Economic Corridor, a planned 1,700 km link from Kunming to the Indian Ocean via Kyaukphyu, gives Myanmar long-term potential as a land bridge between China, South Asia and ASEAN, subject to security conditions.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Min Aung Hlaing)	Sworn in on 10 April 2026 after leading the military government since 2021; sets economic and security policy, with General Ye Win Oo as Commander-in-Chief	Reference point for strategic direction; any engagement requires prior sanctions screening of officials and entities
Myanmar Investment Commission / DICA	Approves investment permits and endorsements and registers companies under the Investment Law 2016	Standard first point of contact for permits, incentives and company registration
Central Bank of Myanmar	Sets foreign-exchange rules and the reference rate, and supervises banks	Key for conversion, repatriation and banking-channel planning
Ministry of Planning and Finance	Sets fiscal, tax and customs policy, including exchange-rate rules for customs valuation	Relevant for tax incentives and import-duty matters

Actor	Why It Matters	Waverley Engagement Angle
Myanma Oil and Gas Enterprise (MOGE)	State company holding interests in offshore gas fields and gas exports; subject to US financial-services restrictions and EU listing	No engagement for US or EU persons; others should take specialist advice before any energy-sector involvement
Thilawa SEZ Management Committee	Administers Myanmar's most developed special economic zone near Yangon	Practical entry route for manufacturing and logistics with established infrastructure
ASEAN and its Special Envoy on Myanmar	Leads regional diplomacy on Myanmar's political crisis and its relations with the bloc	Useful barometer of regional normalisation and future market-access conditions

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Union of Myanmar Federation of Chambers of Commerce and Industry (UMFCCI) is the principal domestic business body, but it and many local conglomerates should be screened carefully, as some business groups have military links. Foreign chambers representing Japanese, Singaporean, Thai, Korean and European businesses in Yangon remain useful for practical intelligence on operating conditions. Multilateral lenders have restricted their programmes: the ADB has held sovereign disbursements and new contracts since February 2021, and the World Bank focuses on monitoring and analysis, whose Myanmar Economic Monitor is a valuable data source. Investors should also draw on specialist sanctions counsel, risk consultancies and human-rights due-diligence advisers.

INVESTOR PROFILE BEST SUITED

Myanmar suits a narrow group of investors with high risk tolerance and strong compliance capability: regional manufacturing and logistics investors, particularly from Japan, Singapore, Thailand and China, operating in Yangon and the Thilawa SEZ; suppliers of food, medicines, construction materials and power equipment serving reconstruction demand with non-designated private counterparties; and agribusiness and consumer-goods companies with robust supply-chain tracing. Most Western institutional investors are best served by a watching brief, maintaining legal analysis, ASEAN-based relationships and scenario planning, so that they are ready to act quickly if sanctions, political conditions or the conflict change.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Obtain specialist sanctions and legal advice first
Map US, UK, EU and Canadian measures, including MOGE, MFTB, MICB, gems, timber and jet fuel restrictions, against any proposed activity before committing resources.

STEP 2: Screen counterparties and ownership chains
Check every partner, bank and supplier against sanctions lists and military-ownership links, and repeat screening throughout the relationship.

STEP 3: Engage DICA and the Myanmar Investment Commission
Clarify permit, endorsement and incentive options under the Investment Law 2016 once the compliance analysis is complete.

STEP 4: Assess the Thilawa SEZ for manufacturing and logistics
Consider the zone's established infrastructure and one-stop regime as a lower-risk base for export-oriented operations.

STEP 5: Build a normalisation watching brief
Track sanctions changes, the FATF review, ASEAN engagement and conflict trends to be ready to scale quickly if conditions improve.